



PHOTO BY HARDIK CHHABRA

THE INDIAN GOVERNMENT'S plan to increase ethanol blending in petrol to over 20% aims to kill

two birds with one stone: cut down the fuel import bill and boost farmers' incomes. While the former became an immediate fiscal need after the rupee went into a free fall against the US dollar and oil turned expensive, the latter is political expediency.

The proposal to increase etha-

A HEADY MIX

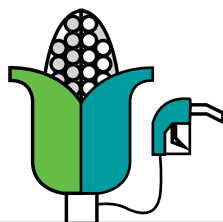
India's ethanol blending programme has resulted in forex savings of ₹1.59 lakh crore, reduction of 813 lakh metric tonnes of CO emissions, and substitution of 270 lakh metric tonnes of crude oil since 2014

Ethanol production relies mainly on maize (nearly 50%) and sugarcane (30%), with the rest coming from damaged foodgrain (broken rice) and other sources

Maize contributes 4,790 million litres to the 10,500 million litres ethanol allocation. The share of maize-based ethanol rose from nil in FY22 to 46% in FY26

Poultry consumes nearly 60% of India's maize, and direct competition with distilleries drove up prices in FY25

Industry estimates for FY26 indicate a potential maize shortfall of 17 million tonnes



nol blending in petrol to 25% runs roughshod over 300 million car and two-wheeler owners whose vehicles are not compatible with the proposed mix. Already, social media is abuzz with scores of car owners expressing mileage-related concerns from E20, which has 20% ethanol and 80% petrol. These concerns are not without reason.

Sample this. If an individual bought a petrol-powered car before January 2023, it is likely that it is not E20-compliant. Hence, demand for E10 (compatible fuel) to be made available alongside E20 is fair. Ethanol is, after all, more corrosive than petrol, causing faster wear and tear in older engines not built to handle it. Besides, it has a 30% lower calorific value than petrol. In August 2025, the Ministry of Petroleum and Natural Gas, citing studies by Indian Oil Corporation Ltd, Automotive Research Association of India and India's apex auto industry body, the Society of Indian Automobile Manufacturers (SIAM), clarified that E20 causes a "marginal" 3-6% decrease in fuel efficiency in "older non-compliant" vehicles. The details of the study were never released.

According to a survey by LocalCircles, five in 10 petrol vehicle owners who bought in 2022 or before are experiencing lower mileage post the E20 petrol mandate in 2025, and three in 10 are reporting unusual wear and tear.

Sunderdeep Singh, a Ludhiana-based car reviewer, says the E20 mandate is wrecking turbo cars with advanced Gasoline Direct Injection engines. Singh, who owns three cars of European brands, says he has been facing spark plug and electronic power control light issues for the last two years. While one of his cars is from 2013, the